

Tata Consumer Products Ltd | TATACONSUM | Consumer Staples

Tata Consumer Products Ltd. is one of the leading companies of the Tata Group, with presence in the food and beverages business in India and internationally. It is the second largest tea company globally and has significant market presence and leadership in many markets. In addition to South Asia (mainly India), it has presence in various other geographies including Canada, UK, North America, Aust

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
7.57%	9.76%	7.99%	0.22	15.96%	26.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	6780.0	791.0	455.0	12.0%	6.0
2018-03	6815.0	839.0	556.0	12.0%	8.0
2019-03	7252.0	786.0	457.0	11.0%	6.0
2020-03	9637.0	1292.0	460.0	13.0%	5.0
2021-03	11602.0	1544.0	930.0	13.0%	9.0
2022-03	12425.0	1719.0	1015.0	14.0%	10.0
2023-03	13783.0	1856.0	1320.0	13.0%	12.0
2024-03	15206.0	2284.0	1215.0	15.0%	12.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	6.23%	7.82%	0.16	263.0	-1.29%
2020-03	3.33%	6.82%	0.11	460.0	3.81%
2021-03	6.4%	7.97%	0.11	1310.0	11.82%
2022-03	6.7%	8.7%	0.09	199.0	12.88%
2023-03	8.11%	8.68%	0.1	627.0	15.13%
2024-03	7.57%	9.76%	0.22	26.0	15.96%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	63.0	7269.0	1141.0	10881.0
2020-03	92.0	13723.0	1586.0	18473.0
2021-03	92.0	14442.0	1634.0	20218.0
2022-03	92.0	15050.0	1412.0	21075.0
2023-03	93.0	16184.0	1600.0	22762.0
2024-03	95.0	15962.0	3477.0	27879.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	1516.0	-1317.0	-995.0	-796.0
2023-03	1461.0	-834.0	-714.0	-87.0
2024-03	1937.0	-1911.0	256.0	281.0

Capital Allocation Pattern

Cash Accumulator

Strengths

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing

Concerns

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital